

SALES CANON

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Abstract

CHAT about MAGIC. How MAGIC talks to buyers.

hadleylab.org Governed Research. Every claim cited.

Contents

Axioms

1. Value Proposition by Segment

Every sales conversation **MUST** lead with the buyers pain, not MAGICs features.

Example: Segment-specific value propositions:

- **Healthcare Systems:** Your AI decisions are un-governed. When OCR audits your AI-assisted clinical workflows, can you produce a complete evidence trail? MAGIC provides continuous compliance verification every clinical AI interaction is governed, logged, and auditable against HIPAA, FDA, and CMS requirements. One customer reduced audit preparation time from 6 weeks to 2 days.
- **Financial Institutions:** SOX Section 404 requires you to demonstrate internal controls over AI-generated financial reporting. MAGIC provides the governance layer that maps every AI output to its evidence basis, jurisdiction, and approval chain. Auditors get a 255-bit compliance score instead of a binder.
- **Government/Defense:** FedRAMP requires continuous monitoring. CMMC Level 2 requires 110 security practices. MAGIC validates compliance at O(1) every artifact, every time, instantly. No sampling. No spot checks. Complete coverage.
- **AI/ML Companies:** EU AI Act conformity assessment requires risk management, human oversight, and transparency documentation for high-risk AI. MAGIC provides machine-enforceable governance that satisfies these requirements by construction, not by documentation.

2. Discovery Framework

Sales discovery **MUST** uncover budget, authority, need, and timeline before proposing solutions.

Example: MAGIC discovery questions (BANT + Pain):

- **Budget:** What are you currently spending on compliance documentation and audit preparation? Whats the cost of a single HIPAA violation to your organization?
- **Authority:** Who approves enterprise software purchases in your organization? Is there a clinical

governance committee that evaluates AI tools?

- **Need:** How are you currently governing AI-assisted clinical decisions? What happens when a clinician questions an AI recommendation can you trace the evidence chain?
- **Timeline:** When is your next regulatory audit? When does your current compliance tool contract expire? Are there any upcoming regulatory deadlines driving urgency?
- **Pain:** What keeps your Chief Compliance Officer up at night? Have you received any 483 observations or Warning Letters related to AI/software validation?

Qualify out early if: no budget authority, no regulatory pressure, no AI in production.

3. Objection Handling

Every common objection MUST have a documented response with evidence.

Example: Top 5 objections and responses:

- **Too expensive** Whats the cost of a single HIPAA breach (\$1.9M average)? A single FDA Warning Letter? MAGIC is insurance against governance failure. At \$100K/year, youre paying \$274/day for continuous compliance verification across your entire AI portfolio.
- **We can build this internally** Can you? MAGIC is a 35KB C kernel with O(1) compliance checking, backed by 6 provisional patents and 90 claims. Building dimensional governance from scratch requires solving an 8-dimensional compliance space. Our patent portfolio covers the approach.
- **We're not ready for AI governance** The EU AI Act doesnt ask if youre ready it requires conformity assessment for high-risk AI by August 2026. ONC information blocking penalties started in 2024. The question isnt readiness its timeline.
- **How is this different from SOC 2?** SOC 2 is a point-in-time audit of controls. MAGIC is continuous, machine-enforceable governance. SOC 2 tells you that controls existed during the audit period. MAGIC tells you that every artifact is governed right now, with a score you can verify in O(1).
- **We use Epic/Cerner they handle compliance** EHR vendors govern their own ecosystem. What governs your AI models, your clinical

decision support, your third-party integrations, your research data? MAGIC governs the work that happens between and around your EHR.

4. Sales Process

The sales cycle MUST follow defined stages with exit criteria at each stage.

Example: MAGIC sales process (6 stages):

1. **PROSPECT** (Week 1-2): Identify organizations with AI in regulated workflows. Entry: regulatory pressure + AI deployment. Exit: qualified lead with identified champion.
2. **DISCOVER** (Week 2-4): BANT qualification + pain documentation. Entry: champion engaged. Exit: documented pain, budget range, decision timeline, buying committee mapped.
3. **EVALUATE** (Week 4-8): Technical demo, pilot scoping, architecture review. Entry: technical stakeholder engaged. Exit: pilot agreement signed, success criteria defined.
4. **PILOT** (Week 8-16): Deploy MAGIC in production scope. Measure against success criteria. Entry: pilot agreement. Exit: success criteria met, business case validated.
5. **NEGOTIATE** (Week 16-20): Contract terms, pricing, legal review. Entry: champion advocates internally. Exit: signed contract.
6. **DEPLOY** (Week 20-24): Full production rollout, training, success measurement. Entry: signed contract. Exit: go-live + first compliance report delivered.

Healthcare enterprise: 16-24 weeks typical.
SMB/startup: 4-8 weeks. Government: 24-52 weeks (procurement cycle).

5. Pricing Strategy

Pricing MUST be anchored to compliance value, not cost-plus or competitive parity.

Example: MAGIC pricing tiers:

- **COMMUNITY (35):** Free. Open source governance validation. Seed ecosystem adoption.
- **BUSINESS (43):** \$500/month (\$6K/year). Self-serve. Up to 10 governed scopes. Email support.
- **ENTERPRISE (63):** \$8,500/month (\$100K/year).

Up to 100 governed scopes. Dedicated support. SSO/SAML. Custom integrations. SLA.
 - **AGENT (127)**: \$21,000/month (\$250K/year). Unlimited scopes. Full primitive composition. API access. White-label option. 24/7 support.
 - **FULL (255)**: Custom pricing (\$500K-\$2M/year). All 8 dimensions enforced. On-premise option. Dedicated CSM. Regulatory filing support.

Anchor: A single HIPAA breach costs \$1.9M average. A single FDA Warning Letter costs \$500K+ in remediation. MAGIC ENTERPRISE at \$100K/year is <5% of the cost of one compliance failure.

Expansion motion: Land at ENTERPRISE (63), expand to AGENT (127) as AI deployment grows.

Stage	Certification Role
PROSPECT	FOUNDATION/developers page our team is certified at 255
DISCOVER	Show buyer cert/ tag verification reproducible proof
EVALUATE	Assign ENTERPRISE+ certified developer to technical demo
PILOT	Certified developer leads pilot deployment
NEGOTIATE	Certification tier justifies rate card FULL principal = premium
DEPLOY	FULL-certified principal leads production rollout

Verification: buyer checks out cert tag runs magic validate gets same score. No trust required only proof.

6. Reference Architecture

Every sales engagement MUST include a reference deployment that demonstrates governance in production.

Example: MAMMOCHAT reference deployment:
 - **What it is:** AI-assisted breast cancer screening governance at AdventHealth (550+ facilities, \$14B system). - **How MAGIC governs:** Every clinical interaction is logged in TRANSCRIPT ledger. mCODE-compliant. FHIR-native. Evidence traced to NCCN guidelines. Clinician credentials verified against scope-of-practice. 20,000+ governed encounters. - **What it proves:** MAGIC works in production health-care at scale. Governance doesn't slow clinical workflows. Compliance is continuous, not periodic. The audit trail is complete. - **Metrics:** [Fill with actual production metrics when available encounter volume, compliance score distribution, clinician adoption rate, time-to-evidence-trace].

Constraints

MUST: Lead with buyer pain, never product features
 MUST: Price to compliance value, not cost-plus
 MUST: Show certified developer team in DISCOVER stage
 MUST NOT: Discount below ENTERPRISE floor without VP approval
 MUST NOT: Assign uncertified developers to PILOT or DEPLOY

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7. Developer Certification in Sales Cycle

Certification MUST be visible in every sales stage. Certified developers close deals.